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California faces $18B deficit and could be relying too much on AI, top fiscal analyst says

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SACRAMENTO — California's tax revenue is strong heading into next year, but if the AI bubble pops it could blow a hole in the state's budget, according to a report from the Legislature's fiscal analyst released Wednesday, which predicts an $18 billion budget shortfall next year.

So far, California has collected billions more in personal income taxes than forecasted when Gov. Gavin Newsom and state lawmakers enacted the current $321 billion state budget.

State law requires that much of that additional money be spent on California schools, contributing to the state's reserves and paying down state debt, according to the Legislative Analyst's Office, which develops budget estimates for the California Legislature. Meanwhile, the office predicts that costs for other state programs will continue to rise, which is why the office is projecting a big deficit. The LAO predicts costs will rise for retiree health care, pension payments and prisons. California will also need to spend more to run its low-income health care and food assistance programs, Medi-Cal and CalFresh, because of federal cuts.

The additional tax revenue is driven by a strong stock market buoyed by optimism over artificial intelligence. If it turns out the AI boom is a bubble, that could cause a stock market dip. California taxes its rich residents much more heavily than the poor, which means the state's tax revenue can fluctuate dramatically based on stock market performance because that's where the highest earners make much of their money.

"With so much exuberance surrounding AI, it now appears time to take seriously the notion that the stock market has become overheated," analysts write in the new report. "History suggests that the stock market is prone to overreact to major technological advances, even if the technology itself turns out to be revolutionary."

The LAO's $18 billion deficit projection is based on a scenario where the stock market slows as enthusiasm for AI cools. If there's a more dramatic stock market downturn, that could cause a larger deficit.

"Our office is not predicting a market downturn," Legislative Analyst Gabe Petek told reporters Wednesday. "If we were predicting that, or we were assuming that in the forecast, our revenues would be much lower — I mean tens of billions lower."

Bolstering the AI sector has been a key priority of Newsom's in recent years. Long an ally of the tech industry, Newsom has held up the sector as an example of California exceptionalism and a sign that the state is being governed well. He has embraced the technology, inking state partnerships with leading AI firms, and has vetoed legislation opposed by the industry that he and his allies in the sector say would have imposed overly broad regulation and stifled innovation.

The head of Google's parent company, Sundar Pichai, stoked fears of an AI bubble burst in a recent interview with the BBC when he acknowledged that the boom in AI investment reflected some "irrationality" with respect to the technology.

The stock market has risen 50% over the last two years, mostly driven by a small number of large tech companies that have made big bets on AI. The optimism around the technology, borne out both by major tech companies offering exorbitant salaries to AI experts and investors pouring money into companies developing the technology, has benefited rich Californians and boosted the state's income tax revenue, according to the LAO.

But the office has warned that the actual value of AI remains unclear and the optimism is probably at least

somewhat overblown. That's what happened when the dot-com bubble, fueled by enthusiastic investment in companies embracing the internet, burst in 2000 and led to a stock market downturn.

The rest of the economy outside of the tech sector is also somewhat sluggish, with the labor market not showing much in the way of job gains and consumers reporting pessimism about the economy.

Newsom has blamed the economic slowing on President Donald Trump's import taxes known as tariffs, which he began imposing near the start of his second term and which have frequently fluctuated. Brian Uhler, a deputy analyst who focuses on the economy and taxes, said the tariffs have probably contributed to slowing the economy, but that the LAO has not developed a dollar estimate for exactly how much because they aren't the only factor likely dragging down consumer spending.

Last year, Newsom and state lawmakers cut state spending, including by rolling back health care benefits for undocumented immigrants, and took money out of reserves to fill a projected $12 billion deficit in the current 2025-26 state budget, which took effect in July.

Newsom will announce his plan for the 2026-27 state budget in early January based on projections done by his Department of Finance, which often differ somewhat from the projections from the LAO.

H.D. Palmer, a Department of Finance spokesperson, said the department is still finalizing its forecast, but noted that Newsom has previously advocated for addressing the budget pressures the LAO report highlights, including uncertainty related to federal policies, market volatility and increasing costs of state programs.

Newsom and lawmakers must reach a deal on the state budget by mid-June, in time for the start of the next fiscal year on July 1.

"Today's fiscal outlook underscores the challenging decisions ahead," Assembly Budget Chair Jesse Gabriel, D-Encino (Los Angeles County), wrote in a statement. "While the Trump administration continues to pursue destructive policies that will harm California families, the Assembly Budget Committee remains committed to crafting a responsible budget that prioritizes essential services, uplifts working families, and protects our most vulnerable communities."

The federal cuts to Medi-Cal and CalFresh that the LAO considered in its report include changes to federal law that will reduce federal spending on those programs, forcing states to chip in more. The federal cuts also raise the thresholds for those programs so that fewer people will be eligible for them. If state lawmakers wanted to backfill those cuts so that people aren't dropped from Medi-Cal or CalFresh, it would be a big hit to the state budget, said Carolyn Chu, chief deputy legislative analyst. The same is true for the federal government's cuts to homeless services, which are also projected to hit California hard.

Lawmakers would need to make cuts in other areas or increase taxes to offset federal cuts to those programs, she said.

"That, I think, will be a particularly difficult conversation for the Legislature this year in the context of the changing federal policy landscape," she said.

Sen. Roger Niello, the top Republican on the Senate Budget Committee, said the LAO report indicates that Democrats who control the Legislature have expanded state programs too much.

"The state's structural deficit continues to grow because of the majority party's unstoppable spending problems," the Fair Oaks (Sacramento County) Republican wrote in a statement.

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